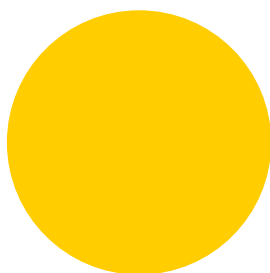


HALF-YEAR
CONSOLIDATED
FINANCIAL
STATEMENTS
30 JUNE 2022
BPIFRANCE GROUP





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I. HALF-YEAR BUSINESS REPORT

Bpifrance Group at 30 June 2022

1. BUSINESS ACTIVITIES

1.1. Presentation of the missions and business lines

A public group serving the financing and development of businesses, Bpifrance acts in support of the policies conducted by the State and the Regions. The law No. 2012-1559 of 31 December 2012 tasks it with promoting innovation, start-up, development, internationalisation, transfer and transmission of businesses, by contributing to their financing through loans and equity.

Bpifrance is a credit institution and a holding company that acts through its subsidiaries, Bpifrance Régions (which operates the Financing activities, together with the credit institution), Bpifrance Participations, Bpifrance Investissement and Bpifrance Assurance Export).

As a credit institution, Bpifrance is subject to banking regulations (Order of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sector subject to the supervision of the Prudential Supervisory and Resolution Authority (Autorité de contrôle prudentiel et de résolution)), which imposes numerous obligations on it, such as operating under market conditions, without abusive support or ruinous credit, with a risk prevention system (financial, image and operational), separation of roles, monitoring measurement systems and risk control. Bpifrance and its subsidiary Bpifrance Régions are supervised by the Prudential Supervisory and Resolution Authority and subject to direct prudential supervision by the European Central Bank¹.

Bpifrance is a neutral player in the marketplace, whose role is to bring together all financing partners for the benefit of companies, banks first and foremost, as well as innovation development networks by co-financing with private banks.

Bpifrance provides financing to companies in their riskiest phases, such as business creation or transfer, innovation, international development, as well as in the context of capacity investments, while respecting the rules of competition law and private players. To do this, it relies on allocations from public actors at different levels: State, local authorities (especially the Regions) and the European Union.

Its public interest mission requires Bpifrance to intervene as close as possible to the territories, in favour of VSEs, SMEs and intermediate-sized enterprises, regardless of their legal status (including SSE companies² and local public companies³ performing a commercial activity), in all sectors of activity, except financial services.

¹ List published by the European Central Bank in accordance with Article 49(1) of Regulation (EU) No 468/2014 of the European Central Bank (ECB/2014/17)

² Companies with status (cooperatives, SCOP, mutual insurance companies, associations) or with a high social impact SEM, SPL, SPLA

³



Its public stature also implies a special welcome for companies in each Region, a search for solutions with all partners, more patience, an adapted remuneration.

Bpifrance is subject to State aid regulations (guarantee funds, research, development and innovation, subsidised loans) which prohibit in particular the financing of companies in proven difficulty or those that are not up to date with their social and tax contributions.

The business lines of Bpifrance and its subsidiaries are presented below:

1.1.1. Financing

Bpifrance has a role as a local bank: in partnership with banking and financial institutions and Regional Councils, Bpifrance supports:

- Tangible and intangible investments through interventions in the form of medium or long-term loans and leasing operations, real estate, equipment or financial leasing, particularly in the Energy-Environment sector;
- Intangible investments, as well as the financing of working capital requirements, in the form of unsecured loans (Growth, Ecological Transition, Industry, Tourism, International, Transmission, Innovation), that are long and patient, without guarantee or security taken against the company or its managers.

Specific financing in partnership with the Regions, the Banque des Territoires or the EIB group has also been developed to encourage investment in certain phases or strategic sectors: industry, tourism, French Touch, VSEs, etc

Bpifrance contributes to the financing of the operating cycle and finances the cash flow needs of small and medium-sized enterprises that are clients of public and private sector clients. Under the contracts financed, it issues signature commitments: sureties and first demand guarantees.

1.1.2. Guarantee

Directly correlated to the financing granted by its partners, the Bpifrance guarantee is a crucial tool to encourage banks to finance SMEs in the riskiest phases of their growth, particularly in the creation, innovation or transmission phases. Bpifrance guarantees bank financing (including leasing and financial leasing) and the interventions of equity capital organisations:

- For creation;
- For innovation;
- For development, including environmental actions;
- For transmission;
- For reinforcement of the cash flow;
- For international business, including bank guarantees on export markets and the risk of failure of French subsidiaries setting up abroad (GPI).

The standard loan-to-value ratio is between 40% and 60%. As part of a recovery plan, the guarantee ratio is increased to between 60 and 70% on the development, creation and transmission funds. The guarantee can reach 80% with the help of the guarantee funds set up by the Regions with Bpifrance.

The guarantee is the preferred tool for intervention, particularly with the smallest companies, as it is implemented in partnership with private banks, which are authorised to decide immediately on granting up to €200,000, or by requesting Bpifrance for higher amounts.



The student loan guarantee, a scheme carried out on behalf of the State and greatly strengthened under the recovery plan, makes it possible to guarantee loans made by banks to students without the latter having to provide other guarantees.

1.1.3. Innovation

The mission of Bpifrance's innovation financing is to provide a response to the financing needs of individual or collaborative innovative projects, from the idea to the market, in cases where traditional financing fails or when a commercial bank needs to be involved.

To this end, Bpifrance provides a financing solution adapted to the company according to its distance from the market (subsidy, recoverable advance, R&D or zero-interest innovation loan, subsidised loan without guarantee, etc.) in close partnership with the players in the financing of innovation, particularly the Regions.

The financing activities for innovation companies can be divided into two main categories:

- Individual aid (in the form of grants, recoverable advances, R&D innovation loans or interest-free loans) and unsecured loans (Start-up Loans, Innovation Start-up Loans, Innovation Loans), from the State budget (PIA, Fonds pour l'innovation et l'industrie-FII), the Regions and Partners, and operated by the Bpifrance Network in all Regions;
- Individual aid or aid for collaborative projects from the State budget (PIA, FII, France Relance), provided within the framework of competitions (i-Lab and i-Nov) or calls for projects (for the structural part of the PIA4: PSPC, replaced by i-Demo in 2021; for the directed component of PIA4 launched in 2021: the sectoral PAAs of the acceleration strategies and for France Relance the PAAs for the modernisation of industry), in the form of grants and recoverable advances, operated by the Expertise Department of Bpifrance.

Bpifrance has also developed a support offer for all phases of company growth (mainly start-ups and SMEs), including advice, training, contacts, international immersion missions and assistance in setting up international collaborative projects.

In 2021, Bpifrance again saw its innovation financing action greatly strengthened with (1) the ramping up of France Relance, (2) the deployment of AMI Capacity Building to strengthen French production capacities in the fight against COVID-19 and (3) the launch of new intervention components of PIA4. Business thus reached €4.4 million, up 45% compared to 2020.

1.1.4. Investment business lines

1.1.4.1 Missions of the investment business lines

i. The missions of the investment business lines

In the context of the creation of Bpifrance, the investment doctrine was specified during the first half of 2013 and then adopted on 25 June 2013 by the Board of Directors of the Bpifrance Group holding company. This doctrine, which applies to all the investment activities carried out by Bpifrance, can be summarised as follows:



Through its equity investments, the Bpifrance finances the development and growth of VSEs and SMEs in line with the FSI France Investissement 2020 programme with the aim of promoting the emergence, consolidation and expansion of medium-sized companies, which are essential to the competitiveness of the French economy and the development of exports.

Bpifrance's investments in funds and companies are made selectively, in accordance with good professional practice, on the basis of the value creation potential (for the investor and for the national economy) of the companies or funds financed. However, Bpifrance is not an investor like any other. Its character as a prudent investor operating under market conditions in the service of the collective interest leads it to complete the investment offer in market segments characterised by a lack of private funds. As a result, Bpifrance devotes a significant portion of its equity investments, from its own resources and those of third-party investors it manages, to the start-up, venture capital, development capital and capital-transmission segments, or in funds oriented towards profitable companies in the social economy but which, due to their status, spontaneously attract few traditional investors. Bpifrance is also committed to developing a mezzanine fund offer on the market as a complement or substitute for equity investments for companies whose shareholders do not wish to open up their capital to third-party investors.

In this context, all operations in which Bpifrance is involved are guided by the following principles:

- Bpifrance intervenes in order to create, via minority shareholdings, a spill over effect of private investment through public investment. Whether it invests its own resources or those of other public or private subscribers under its management, Bpifrance systematically seeks private co-investors to whom it leaves the majority of shares, in order to stimulate the investment market;
- Bpifrance is an informed investor operating under market conditions. When it co-invests, Bpifrance intervenes according to the same financial and legal provisions as the co-investors (*pari passu*). Wherever possible, it sits on the boards of directors of the companies in which it has invested and on the advisory and strategic committees of partner funds;
- Bpifrance is a patient investor. It adapts its investment horizon, particularly to the technological context of the company, and can accept that the profitability of its investments will materialise over a longer time horizon than most private investors. This is particularly the case in high-risk market segments (start-up, venture capital, R&D intensive). It supports the companies in which it invests over the long term, which does not exclude rotation of the asset portfolio in synergy with private co-investors, with a view to good risk management, freeing up room for manoeuvre to finance new investments and increasing the value of its assets;
- Bpifrance is at the service of the collective interest. In addition to the necessary assessment of the financial performance of companies (profitability, sustainability, liquidity), its investment decisions are made with regard to the impact of projects on the competitiveness of the French economy, assessed using a multi-criteria analysis grid, integrating extra-financial criteria such as export and international development potential, contribution to innovation, ESG (environmental, social and corporate governance) practices, effects on employment and regional development, role in the sector, development of family businesses, etc.
- In order to ensure that its investments effectively contribute to the growth and development of companies, Bpifrance gives priority to bringing new money to the companies in which it invests, alongside other investors.



However, Bpifrance considers taking over from private equity or delisting a target through a share buyback, particularly in the following three cases:

- The generational transmission of an SME;
 - The exit of some of the historical investors in companies with strong growth potential, especially innovative ones;
 - The purchase of participations to maintain a significant presence of French investors in the capital of companies considered sensitive or strategic.
- Bpifrance does not invest in the capital of certain categories of companies:
 - Companies dedicated to financing infrastructure construction projects. On the other hand, Bpifrance can invest in companies involved in the construction or operation of infrastructure;
 - Companies whose main activity is real estate development or property management;
 - Banks and insurance companies;
 - Opinion media and polling organisations in order to prevent conflicts of interest and maintain neutrality;
 - Semi-public companies (SEM) which may also be the subject of investment by the Caisse des Dépôts.

Any investment decision likely to lead to competition with other Caisse des Dépôts Group entities will be subject to specific coordination.

- Bpifrance may exceptionally intervene in the Turnaround Capital segment, which aims to turn around companies in difficulty, particularly for SMEs and the smallest of the intermediate-sized enterprises, taking special precautions. Indeed, this type of investment is by nature contrary to Bpifrance's guiding principles for three reasons:
 - They generally require a majority investment in order to have disposal to all the levers of action;
 - Public investments in companies in difficulty are subject to a presumption of State aid and must therefore be notified to the competition authorities, leading to longer delays and even a risk that the investment operation will not be carried out;
 - The restructuring of companies in difficulty would subject Bpifrance, a public investor, to significant image risks.

In view of these factors, Bpifrance will favour investments in Turnaround Capital by investing in minority shares, alongside private investors, in funds managed by specialised independent teams.

In its application, this doctrine also takes into account the logic of socially responsible investment and promotes it among its partner funds and the companies financed within a clear ethical framework.

Exception for Fintechs

- Although investments in the capital of banks and insurance companies are not authorised in general, Bpifrance Investissement may nevertheless invest in Fintechs with banking or insurance authorisations. A Fintech is any company that meets all the following conditions:
 - Start-up or fast-growing SME;

- Possessing or in the process of developing an innovative technology or business model, allowing it to differentiate itself from traditional players whose business model is largely based on the intensive use of their balance sheet;
- Offering financial products or services, and/or products or services for the financial sector.

Investments in these Fintechs will aim to acquire participations in companies with technological or strategic interest for Bpifrance's businesses, in a corporate venture approach, and/or to contribute to the emergence of European champions. Equity investments must systematically be minority and made alongside a regulated or financial player, and Bpifrance Investissement must not be or become the largest shareholder in the category encompassing both regulated and financial investors, nor a reference shareholder in such companies.

Any investment decision likely to lead to competition with other Caisse des Dépôts Group entities will be subject to specific coordination.

ii. Investment business lines

Bpifrance's investment activities are structured around out three business lines:

- **The Capital Development business line** invests directly in equity, quasi-equity and debt to support SMEs, intermediate-sized enterprises and large French companies in their development and growth projects. With 53 regional offices throughout France, the 160 professional investors in this department play an active role as minority investors seeking long-term sustainable and responsible performance for their participations.

This business line includes the activities of:

- **Large Cap and Sovereign Fund Partnerships**, to support the development of French SMEs and large companies and to join forces with long-term investors and sovereign wealth funds (€17.2bn under management);
- **Mid Cap**, in order to accelerate the growth of independent SMEs and intermediate-sized enterprises with high potential (€1.7bn under management);
- **Small Cap**, in order to help SMEs and intermediate-sized enterprises in our territories grow (€1.7 billion under management);
- **Specialised Funds (Tourism, Sectors, FAA, Lac I)**, in order to address specific identified needs through third-party management (€4.8bn under management).

In total, the Development Capital portfolio comprises more than 660 investments with assets under management of €25.5bn.

- **The Fund of Funds business line** mainly manages investments in partner funds subscribed via the funds of funds managed under the SME Innovation programmes (FPCR 2000, FCIR, FFT34 and FPMEI), and France Investissement (FFI-A, FFI-B, FFI II, FFFI III, FFI IV and FFI V)

The Fund of Funds business line also manages funds on behalf of third parties such as the National Start-up fund (*Fonds National d'Amorçage* (FNA)), the National Start-up Fund No. 2 (*Fonds National d'Amorçage No. 2* (FNA 2)), the MultiCap Growth Fund of Funds (*Fonds de Fonds MultiCap Croissance* (FFMC2)), the MultiCap Growth Fund No. 3 (*Fonds MultiCap Croissance No. 3* (MC3)), the Turnaround Fund of Funds (*Fonds de Fonds de Retournement* (FFR)) the Priority Neighbourhood Fund of Funds (*Fonds de Fonds Quartiers Prioritaires* (FFQP)), the Edtech Fund of Funds (*Fonds de Fonds Edtech* (FFE)), the French Tech Acceleration Fund (*Fonds French Tech*

⁴The FPCR 2000, FCIR and FFT3 funds are co-underwritten by third parties for 66.7%, 42.9% and 66.7% respectively

Accélération) (co-managed with the Innovation Department), the Bio Santé Acceleration Fund (*Fonds Accélération Bio Santé* (FABS), co-managed with the Innovation Department) and the Department for Industrial Projects Equity Fund (*Fonds Propres Projets Industriels* Department) the French Touch Fund (*Fonds French Touch* (FFT, co-managed with the Innovation Department)) subscribed by the State within the framework of the Future Investment Programme (*Programme d'investissements d'avenir*) (PIA), the France States-Regions Recovery Fund (*France Relance États-Régions* (FFRER)) subscribed by the State within the framework of the Recovery and Resilience Facility Recovery plan validated by the European Commission and the National Recovery and Resilience Plan (*Plan National de Relance et de Résilience* (PNRR)), the FFI3+ subscribed by the savings funds of Caisse des Dépôts, the Digital Fund of Funds (*Fonds de Fonds Digital* (FFD)) subscribed by Caisse des Dépôts and some of its subsidiaries and the Growth Fund of Funds (FFG) subscribed by CDC and insurers.

A new activity aimed at private individuals has also been developed through the Bpifrance Entreprises 1 and Bpifrance Entreprises 2 funds set up in 2020 and 2022.

- **The Innovation Capital business line** invests directly in French start-ups and scale-ups positioned in sectors of the future, particularly in biotechnology, eco-technology, digital and creative industries. The investment teams are structured by investment clusters dedicated to sectors or stages of intervention and act on behalf of funds held in equity by Bpifrance Participations or held by third parties (including certain funds of the Investissements d'Avenir Programme).

The business line is structured around investment units distinguished by sector or stage of intervention:

- The **Large Venture** unit, which invests via Bpifrance Participations and the Bpifrance Innovation I - Large Venture 2 fund in all areas of innovation (mainly fast-growing companies in the digital and life sciences sectors), with investments of €10 million or more;
- The **Digital Venture** unit, which invests via the Ambition Numérique and Ambition Amorçage Angels funds and the Bpifrance Innovation I - Digital Venture Seed & Digital Venture AB funds in digital start-ups at the seeding and series A and B stages;
- The **Life Sciences** unit, which operates in the Biotech and Medtech sectors via the Bioam, InnoBio 1 and 2, Innovative Biotherapies and Rare Diseases, FABS and Bpifrance Innovation I - Medtech funds;
- The **Patient Autonomy** unit, which operates in the digital health sector through the Patient Autonomy fund;
- The **Ecotechnologies** unit which intervenes via the Ecotechnologies, Ville De Demain and Bpifrance Innovation I - Impact funds;
- The **French Tech Acceleration** unit, which intervenes via the FTA and FTA2 funds to support accelerators and accelerator investment funds;
- The **Innovation Transverse Venture Capital** unit, which operates through the PSIM, Definvest, and the Innovation Défense and French Tech Seed Funds;
- The **Cultural and Creative Industries** unit which intervenes via the following funds: The Excellence Know-how Fund (*Fonds pour les Savoir-Faire d'Excellence* (FSFE)), Fashion and Finance 2 (*Mode et Finance 2*), Heritage and Creation 2 (*Patrimoine et Création 2*), Bpifrance Mezzanine I, Bpifrance Capital I and Tech&Touch.
- The **Industrial Project Investments** unit, which manages the SPI fund, was integrated into the Innovation Division in 2021 (previously in the Development Capital Division), in order to create a complete continuum to support deeptech start-ups with equity capital until industrialisation.

The Venture Capital support teams are grouped within **Bpifrance Le Hub** and work mainly with start-ups in the Bpifrance portfolio.



Finally, Bpifrance has been involved in the deployment of the new **French Tech Sovereignty Fund**.

1.1.4.2. How the various investment businesses lines operate

The investments of the Bpifrance group are made either directly by Bpifrance Participations or indirectly through partner funds. The modes of intervention differ according to the business lines, as follows:

- a) Mid & Large Cap investments are made directly by the Bpifrance Participations teams, on the balance sheet of the investment holding company for investments in large companies (GE), new investments in intermediate sized enterprises (ETI) are made through the ETI 2020 fund, raised in the first quarter of 2014. Investments in tier 1 and tier 2 automotive suppliers are made by FAAs, and investments in equity and mezzanine debt in the mid-market are made by Growth funds;
- b) The SME Equity and Fund of Funds business lines invest mainly through funds. These funds are mainly financed via an intermediary holding company (FSI PME Portefeuille, wholly owned by Bpifrance Participations) and managed by the management company Bpifrance Investissement;
- c) Innovation Capital made its investments both through funds managed by Bpifrance Investissement and directly on the balance sheet of Bpifrance Participations through the Large Venture and Direct Innovation activities;
- d) The Industrial Projects Equity business line invests in minority stakes, alongside corporate investors, in industrial project companies aimed at supporting the development of industrial sectors in key sectors for the economy of the future (energy transition, circular economy, etc.).

1.1.5. International

Bpifrance's Export Department is structured around three business lines:

1.1.1.5. Export Insurance

Since 1 January 2017, Bpifrance ensures through Bpifrance Assurance Export the management of public export guarantees in the name of, on behalf of and under the control of the French State. Before that, this activity was carried out by Coface.

The guarantee is granted directly by the State, thus demonstrating the French State's support for exporters. These guarantees to exporters are intended to encourage, support and secure French exports financed over the medium- and long-term as well as French investments abroad.

More specifically, Bpifrance Assurance Export offers a range of solutions to support the prospecting of foreign markets, to facilitate the issuing of guarantees and the granting of pre-financing by banks, to secure exports and investments abroad, to make the financing offered to foreign clients competitive and to protect against currency fluctuations.



Bpifrance Assurance Export manages public guarantees in strict compliance with the international rules of the WTO, the European Union and the OECD.

Bpifrance Assurance Export is organised into four divisions:

1. Key Accounts;
2. Intermediate-sized enterprises (ETIs) and SMEs;
3. International relations, supply development and rating;
4. Consolidation, compensation and recovery.

1.1.5.2. Export financing

In an increasingly competitive international environment, French companies must accompany their technical and commercial offer with financing proposals in order to win markets that will be the drivers of their future growth.

Since 2015, the Export Finance Department has been offering medium and long-term financing solutions to exporting companies domiciled in France for their foreign buyers, whether they are state-owned, public, private or project companies.

Regardless of the sector of activity (transport, energy, water, defence, industrial equipment, etc.) and the continent of destination, Bpifrance's Export Financing Department offers export credits, with coverage from Bpifrance Export Insurance, in the form of

- Purchase of supplier credit (from €1m to €25m);
- Bilateral buyer credit (from €5m to €25m) or participation (up to €75m).

This allows exporters to mitigate counterparty risks while offering their buyers competitive, long-term financing solutions.

1.1.5.3. International support

This unit is the Bpifrance hub for the internationalisation of companies. Its mission is to accelerate and support these companies in their international development through the following solutions and services:

- Each year, some fifteen international missions are organised with our partners from Team France Export, with the aim of enabling the supported companies to confirm a new market or not;
- There are 6 mission formats adapted to the needs and life cycle of the company;
- Supporting our clients in their future target areas thanks to our 17-strong international team. (9 offices: Mexico City, New York, Abidjan, Dakar, Nairobi, Casablanca, Düsseldorf, Dubai and Singapore);
- Relevant and targeted contacts from France and around the world via our privileged partners and trusted experts in the export ecosystem;
- Acting as business facilitators by proposing to managers the best solutions and mechanisms of Bpifrance's international offer;
- Coordinating and providing support for dedicated exporter programmes such as the International Accelerator.

The International Department also includes the **International and European Affairs Department**.



The International and European Affairs Department is an operational and transversal department within the International, Strategy, Research and Development Department. In collaboration with all of Bpifrance's departments, it strives to contribute to the influence of the Group and its model, as well as to the development of its business lines internationally. It invests in and develops networks and partnerships with a wide range of actors: institutions, investors, support structures, associations, companies and public authorities. To this end, the Department is structured around 5 dedicated teams in permanent contact with all our partners.

Averroès Africa, the team of fund of funds investors in Africa, currently manages 4 investment vehicles and follows 25 participations. Its objectives are to participate in the growth of private equity on the continent, the profitability of its investments and the development of business relations of its underlying portfolio with French companies, in the framework of Bpifrance's policy in favour of sustainable development.

The EuroQuity team runs a digital platform that puts companies in touch with their development partners, both in France and internationally, particularly in Europe and Africa.

The International Expertise team provides technical assistance to foreign governments and institutions wishing to develop development banking activities or products based on the Bpifrance model. It works particularly in Africa and Europe.

The Europe and International Relations team is responsible for lobbying and regulatory monitoring by Bpifrance with the European authorities and mobilises European financial resources for the benefit of Bpifrance and French companies. It builds and facilitates partnerships with our counterparts and any other foreign entity.



1.2. Business activities during the first half of 2022

1.2.1. Credit activity (including innovation loans, digital loans and export credit)

Medium Long Term

New loan production increased by EUR 0.7 billion in the first half of 2022 compared with the first half of 2021 (EUR 5.0 billion at 30 June 2022 compared with EUR 4.4 billion at 30 June 2021), mainly due to the dynamism of unsecured loans in the Financing business line over the period (+27.5%).

Short-Term

As regards short-term financing, it continues its planned decline for the financing of the employment tax credit (CICE) (-44.5%) but is up by 5.8% for the financing of trade receivables (Advance +).

1.2.2 Aid for Innovation

Innovation financing through aid rose recorded a reduction of -28.8% over the same period (agreements worth €1.4 billion at 30 June 2022, compared with €2.0 billion at 30 June 2021), mainly due to the deployment of the government's stimulus plan in the first half of 2021 (€1.0 billion at end-June 2021). Excluding the Recovery Plan, activity remained stable over the period at around €1.0 billion.

1.2.3. Guarantee

The guarantee business was up by 31.4% for traditional funds and by 5.2% for regional guarantee funds.

In the first half of 2022, €4.4 billion in state-guaranteed loans were granted to 21,626 SMEs and intermediate sized enterprises.

1.2.4. Investment

At mid-year 2022, €2.5 billion had been invested by the various Investment business lines, up 32% compared to the figure at 30 June 2021.

This figure breaks down as follows by business line:

- Nearly €1 billion was invested in growth capital, an increase of more than 40% relative to 30 June 2021, due in large part to the sustained activity of the Lac 1 fund, on the one hand and a very dynamic deal flow in the Small Cap and Mid Cap segments, on the other hand;
- The activity of the Innovation division's various business lines totalled €0.3 billion at mid-year (+36% compared to 30 June 2021). This growth is explained by the high level of realisation in Venture Capital;
- With subscriptions at a level of nearly €0.7 billion, up 14% compared to 30 June 2021, the business of the Fund of Funds division remains very high.



The various business lines of the Investment division generated €1.1 billion in cash flow from disposals and redemptions of directly held lines and distributions by partner funds, representing a level close to the high level seen in mid-2021 despite a slight decline of nearly 5%:

- The various Capital Development business lines recorded nearly €0.6 billion in proceeds from disposals and repayments, up slightly by 4% compared to 30 June 2021, mainly due to disposals in the Large Cap portfolio for nearly €0.4 billion and the very high level of activity in disposals in the Small Cap portfolio, with a historic realisation of more than €130 million at mid-year;
- More than €70 million was recorded on disposals by the various Innovation business lines. With a realisation of more than 40 million euros, the Digital Venture funds are the main contributors;
- The distributions made by the partner funds at 30 June 2022, driven by the dynamic activity observed in 2021, amount to almost €0.5 billion and have thus reached a new record.

1.2.5. Support

In the first half of 2022, the number of new accelerated companies remains high at 516 compared to 524 in the first half of 2021. The number of consultancy assignments is also high at 825 over the period.

1.2.6. Creation

In the first half of 2022, 7,346 loans were disbursed compared to 2,738 in the first half of 2021 (+168.3%).

1.2.7. Export insurance (on behalf of the State)

In Credit Insurance, the level of activity remains high with 71 guarantee applications accepted for a total of €7.6 billion.



2. COMMENTS ON THE RESULTS

2.1. Loans to clients

At 30 June 2022, outstandings from all financing activities rose slightly to €46.9 billion, compared to €45.8 billion at 31 December 2021.

Equipment loans and short-term credit facilities (excluding collective impairment) totalled €21.9 billion versus €21.6 billion on 31 December 2021.

Lease purchase transactions (excluding collective impairment) were down slightly at €6.1 billion, compared to €6.2 billion at 31 December 2021.

Collective impairment totalled on the outstanding balance sheet was €633.2 million at 30 June 2022.

2.2 Financial assets at fair value through equity

The portfolio of financial assets at fair value through equity decreased by €2 billion, from €18.5 billion at 31 December 2021 to €16.5 billion at 30 June 2022.

Changes in value in this category totalled €-0.8 billion in the first half of 2022.

2.3. Holdings in equity-consolidated companies

At 30 June 2022, the increase in this item in the amount of €0.4 billion is due in particular to the net result of the company STMicroelectronics.

2.4. Commitments made to clients

At 30 June 2022, the Bpifrance group's commitments totalled €25.6 billion, compared to €24 billion at 31 December 2021.

The commitment to guarantees is slightly up at €12.9 billion compared to €12.5 billion at 31 December 2021.

2.5. Income Statement

In total, the net result as of 30 June 2022 is high, at €1,030 million, which is close to the budget for the whole of 2022. It amounted to €894 million at 30 June 2021.

Net banking income totalled €1,432 million in the first half of 2022, down slightly by -4.9% compared to the first half of 2021 (€1,506 million). This decrease is mainly due to the contribution of Bpifrance Participations in terms of net gains or losses on financial instruments at fair value through profit or loss (€-61 million in changes in value compared to 2021, an exceptionally favourable year), and through equity (€-69 million on dividends, which included nearly €200 million in exceptional distributions of securities).



The net interest margin increased by €28 million (+6.7%) compared to the first half year, supported by the 1.8% increase in average outstanding loans over the period, by the product mix and by the interest rate context.

Operating expenses (including depreciation, amortisation and impairment of property, plant and equipment and intangible assets), which support and accompany the development of the Group's business, increased by €13.6 million compared to the first half of 2021, i.e. an increase of 3.1%, in an almost normal health context.

The cost of risk is a net charge of €-109.2 million in the first half of 2022.

Due to the very uncertain macro-economic outlook, particularly in connection with the conflict in Ukraine, the expected risks (buckets 1 and 2) are in an allocation of €-52 million the first half of 2022.

Net allocations for proven risks (bucket 3) are contained in the first half of 2022, at €-57 million compared to €-93 million in the first half of 2021.

The contribution to net income from equity affiliates amounted to €267 million at 30 June 2022 and includes in particular the contribution of ST Microelectronics for €260 million, which includes, in addition to a high level of income, a "technical" impact of €92 million generated by the optional component of the exchangeable bonds issued by the company. Note the lower contribution from Eutelsat, whose results are down due to the decline in activity recorded in certain segments (Broadcast).

3. THE RISKS

3.1. Credit risk

As a banking institution, Bpifrance is exposed to credit risk on its corporate financing transactions. This includes:

- default risk: the risk that a creditor will permanently lose its claim to the extent that the debtor cannot, even by liquidating all its assets, repay all its commitments;
- migration risk: the potential loss resulting from the downgrading (or rating downgrade) of an internal/external credit instrument or counterparty, as well as the potential indirect losses that may result from a credit migration event;
- single name concentration risk: the risk arising from exposure to counterparties considered to be the same group of related clients
- sector concentration risk: the risk arising from exposure to counterparties operating in the same economic sector.

Bpifrance mainly deploys its financing activities for French companies of all sizes (from very small businesses to large corporations), through a wide range of asset classes (debt financing, loans, guarantees) and commitment horizons (short to long term). In the financing that it grants, Bpifrance ensures that risk-taking is limited by means of (i) the implementation of co-financing involving risk-sharing with a commercial bank, (ii) the implementation of collateral or guarantees.



Bpifrance manages its individual and global credit risk exposures based on a granting policy that defines the characteristics of credit files and the levels of delegation according to the size of the commitment or the sensitive and/or specific nature of the transaction. Credit decisions are based on a synthetic, comprehensive and regularly updated analysis, the Decision Support Tool and the Fiben ratings provided by the Banque de France. They are made on the basis of objective criteria, with a long-term perspective, a desire for diversification, and by anticipating and taking into account changes in client ecosystems. These decisions are monitored and reviewed on a regular basis. The Bpifrance Group is particularly vigilant about risk concentration (by client, sector, rating) and is careful to maintain a diversified portfolio.

All Bpifrance commitments (financing, guarantee and innovation operations) involving credit risks are subject to an initial analysis by the Financing and Network Management Department, which is responsible for monitoring and client relations. The Credit Risk Department is responsible for the counter-analysis of files that fall within the jurisdiction of the Credit Risk Committee and the Credit Committee of Bpifrance, and presents them to these committees for decision.

On the basis of IFRS standards, at 30 June 2022, Bpifrance's maximum exposure to credit risk was €89,423.7 million, compared with €87,153.1 million at 31 December 2021.

3.2. Liquidity risk

The liquidity risk corresponds with the bank's inability to meet its obligations at an acceptable price, for a given location and currency. This risk can occur in case of non-concomitance of the cash flows. The refinancing risk (an integral part of the liquidity risk) arises when the funds needed to finance the non-liquid assets cannot be obtained within acceptable timeframes and at acceptable prices.

The Group's liquidity risk is monitored as part of a liquidity risk management policy defined in the Group Risk Management Policy approved by the Board of Directors. The liquidity situation of the Bpifrance Group is assessed on the basis of internal standards, alarm indicators and regulatory ratios..

The system in place, specifically defined as part of the ILAAP (Internal Liquidity Adequacy Assessment Process), provides Bpifrance with the necessary liquidity to meet its short-term and medium/long-term liquidity obligations. These measures should enable Bpifrance to fulfil its regulatory obligations.

3.3. Liquidity, interest rate, and currency risks

The interest rate risk is the risk that Bpifrance may incur losses due to an unfavourable change in interest rates, particularly in the event of an imbalance between the interest rates generated by its assets and those due on its liabilities. Bpifrance generates a portion of its earnings in the form of net interest margin and as such remains highly exposed to interest rate fluctuations and changes in the yield curve, particularly in its Financing activities.



Bpifrance is exposed to foreign exchange risk, which is the risk that changes in currency exchange rates will adversely affect the value of the instruments and therefore generate losses on capital borrowed or loaned in currencies other than the euro.

The Bpifrance Group manages its balance sheet in such a way that its structure is globally balanced in terms of rates and exchange rates. The backing sought between usages and resources is intended to limit the establishment's exposure to financial risks. The overall rate and exchange risks are measured each month, and governed by a system of limits. The rate and exchange risks are hedged by means of future financial instruments negotiated on organised or over-the-counter markets (primarily interest rate and currency swap contracts), or by means of operations involving State securities. The ALM Committee examines interest rate and foreign exchange risks and also ensures compliance with the limits set. In addition to these periodic meetings, the ALM Committee may be convened, in particular if market parameters change abruptly or if the limits set are exceeded.

3.4. Risks generated by the investment activity

As part of its investment activity, the Bpifrance group holds significant securities portfolios composed mainly of listed and unlisted shares, as well as units in investment funds. It is exposed to the risk of impairment of its listed and unlisted investments. In addition, the structure of the portfolio of the subsidiary Bpifrance Participations exposes it to the variability of the fair value of the investments, which may result in a direct loss of capital.

The constitution of these portfolios is part of the implementation of the Group's investment policy, which favours minority shareholdings, operated in a prudent approach and with a "patient" capital approach.

No Group equity portfolio is dedicated to trading. Bpifrance does not invest more than the amount of its own funds and closely monitors the position risk related to the impairment of investments in direct or indirect shareholdings of the Group.

Bpifrance strives to contain, at all times, the risk of loss of market value in the event of severe stress.

3.5. Operational risk

The operational risk of the Bpifrance group is the risk of loss resulting from faulty or inadequate internal processes (particularly those involving staff and information systems) or from external events, whether deliberate, accidental or natural (floods, fires, earthquakes, terrorist attacks, etc.). Operational risk includes fraud, human resources risks, legal and reputational risks, compliance risks, information systems risks, inappropriate outsourced service provision, as well as risks of business process failures including credit processes, or the use of a model (model risk).

The Bpifrance Group has an operational risk governance and management system, the main purpose of which is to ensure the overall control of operational and non-compliance risks and to provide reasonable assurance that the objectives set by the Group are achieved. The framework related to this system is defined in the Bpifrance Internal Control Charter, which constitutes the benchmark for internal control within the Group. Bpifrance's Operational Risk Management Policy is applied in strict compliance with regulatory obligations and is aligned with the classification of operational risks established by the Basel Committee (Article 324 of European Parliament Regulation 575/2013). At the level of the second line of defence, the Compliance and Permanent Control Department, and more specifically the Operational Risk Department within it, is responsible for the organisation and functioning of the operational risk and non-compliance control system.



3.6. Non-compliance risk

The risk of non-compliance is the risk of legal, administrative or disciplinary sanction, significant financial loss or damage to reputation, arising from non-compliance with directly applicable national or European legislative or regulatory provisions specific to banking and financial activities, professional and ethical standards, or instructions issued in application of the guidelines of the supervisory body.

Bpifrance ensures that it (i) complies with all laws and regulations, particularly those relating to banking and finance, to which it is subject and (ii) establishes solid and effective relations with its supervisory authorities.

The Compliance and Permanent Control Department is responsible for supervising the system for controlling non-compliance risks. To this end, the Compliance and Permanent Control Department steers the procedures, systems and controls implemented by the group's companies to ensure that the Bpifrance Group's operations comply with the laws, regulations and rules of the market, particularly with regard to banking and financial regulations.

More specifically, Bpifrance has deployed a system to combat financial crime and thus prevent money laundering, terrorist financing and fraud. Procedures relating to combating money laundering and terrorist financing (AML/CFT) have been put in place; they notably involve dedicated training for all employees (managers and operational staff) on these issues. A tool dedicated to AML/CFT makes it possible, in particular, to enter information relating to customers, to file documents relating to "Know Your Customer" (KYC) and to make the data and links between the various client companies more reliable. A supplier evaluation system has also been put in place.

3.7. Climate-related risks

Climate-related risks can be divided into two main categories:

- Physical risk refers to the financial consequences that result from climate change through extreme and/or chronic hazards;
- Transition risk is the risk of losses incurred, directly or indirectly, as a result of inadequate adaptation to a low-carbon economy.

The Bpifrance Group is gradually integrating the assessment of these risks into its risk management system. The monitoring of climate risks is indeed a particular challenge for Bpifrance in the context of its strategic objective of "Green Bank" and the Climate Plan launched in 2020.

Started in 2021, the climate risk management system is being extended to all of Bpifrance's business lines and will continue to be developed in 2022 in accordance with the action plan produced by the Group Risk Management Department, including the establishment of a Climate and Environmental Risk Management Committee.

Bpifrance has developed a framework to assess and quantify the exposure of its portfolio to physical and climate transition risks. This monitoring framework is based on a series of internal indicators that are being developed to identify pockets and/or counterparties at risk that may require enhanced analysis and/or appropriate intervention, and to measure and monitor the sensitivity of the portfolio to transition and physical risk.



4. FORESEEABLE CHANGES IN 2022

At 30 June 2022, Bpifrance was far outperforming its annual budget.

This advance will be confirmed in the second half of 2022 if the equity markets hold up and if the claims experience remains better than expected on credit risks.

APPENDIX

Key figures

1. Key figures for Bpifrance in the first half of 2022

- Activity:

Banking activity					
In millions of euros	2020	2021	Change 2020	H1 2021	H1 2022
Investment co-financing	11 419	9 682	- 1 737	4 374	5 033
Mobilisation of Receivables	3 861	3 817	- 44	3 781	4 001
Pre-financing of the CICE	2 886	1 741	- 1 145	2 256	1 251
Amount of risks guaranteed (excluding internal funds)	2 719	3 093	374	1 478	1 941
Amount of risks guaranteed by Bpifrance Régions	279	304	25	164	173
Innovation Grants	2 083	3 826	1 743	1 972	1 405

Investment activity					
In millions of euros	2020	2021	Change 2021	H1 2021	H1 2022
Assets under management	41 604	44 412	2 808	42 498	47 015
Fund of funds	12 679	13 479	800	12 759	13 785
Small Cap	2 346	2 413	67	2 297	3 015
Innovation (incl. SPI Fund)	5 038	5 481	443	5 236	6 531
Mid&Large	21 541	23 038	1 497	22 206	23 684

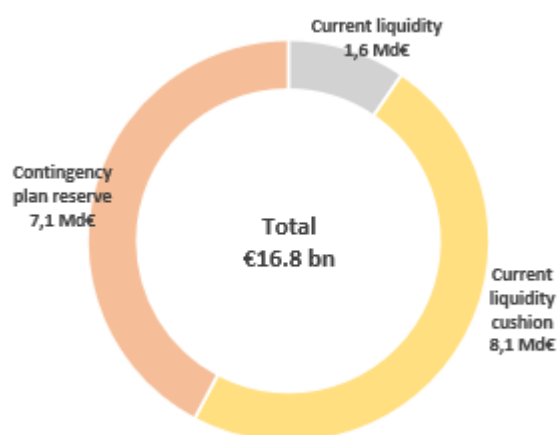
- Performance:

Performance indicators - Bpifrance					
In millions of euros	2020	2021	Change 2021	H1 2021	H1 2022
Net banking income	1 239	2 916	1 677	1 506	1 432
of which Bpifrance Participations	427	1 914	1 487	1 025	917
Operating expenses	- 793	- 870	- 77	- 438	- 451
Cost of risk	- 462	- 75	387	16	- 109
Operating income	- 15	1 972	1 987	1 084	872
Contribution of companies in MEE	- 124	49	173	- 81	267
Net income, group share	- 121	1 835	1 956	894	1 030
	2020	2021	Change 2021	H1 2021	H1 2022
Change in value	126	6 260	6 134	3 033	- 2 036

- Liquidity and solvency situation:

	31/12/2020	31/12/2021	30/06/2022
CET1 ratio	30.75%	30.52%	29.46%
Leverage ratio	20.82%	20.88%	20.77%
Liquidity coverage ratio (LCR)	886%	425%	954%

Liquidity reserve



Risk weighted by type of risk



2. Financial figures at 30/06/2022 consolidated at the level of the Bpifrance public industrial and commercial establishment (EPIC)

(in € millions)	2020	2021	Change 2021/2010	H1 2021	H1 2022
SHAREHOLDERS' EQUITY - GROUP SHARE	24,704.0	26,120.8	+5.7%	26,475.2	27,447.7
RESULTS					
Operating income before other revenue and expenses	-14.0	-14.8	-5.7%	-6.5	-9.6
Operating income	-139.7	-14.8	+89.4%	-6.5	-9.6
Operating income after share of net income of equity-consolidated companies	-206.5	887.1	+529.6%	434.1	498.6
Result before tax	-463.6	1121.4	+341.9%	598.9	683.6
Net income, group share	-473.5	1106.5	+333.7%	595.3	671.8

(Unaudited financial figures)

The consolidated financial statements of the Bpifrance public industrial and commercial establishment (EPIC) include the consolidated financial statements of Bpifrance SA applying the equity method and the financial statements of the parent company.

The increase in equity between 31 December 2021 and 30 June 2022 is mainly due to the change in gains and losses recognised directly in equity (€1,032.9 million at 30 June 2022 compared to €-18.6 million at 31/12/2021). Net income for the first half of 2022 is comprised essentially of the share of Bpifrance SA's net income of €508.2 million.

II. CONSOLIDATED FINANCIAL STATEMENTS

Bpifrance consolidated balance sheet at 30 June 2022

ASSETS (in millions of euros)	30/06/2022	31/12/2021
Cash in hand, central banks	7,030.7	8600.4
Financial assets at fair value through profit or loss	6,802.1	6312.2
Hedging derivatives	30.3	11.0
Financial assets at fair value through equity	16,483.9	18479.8
Securities at amortised cost	8,910.0	8053.1
Loans and receivables owed by credit institutions and similar entities, at amortised cost	1,589.4	1715.9
Loans and receivables owed by clients, at amortised cost	46,914.8	45932.8
Finance leases and similar transactions, at amortised cost	6,095.0	6154.6
Innovation financing aid	963.5	964.3
Fair value adjustments to debt portfolios hedged against interest rate	1,071.7	124.0
Current and deferred tax assets	367.3	318.2
Accruals and miscellaneous assets	1,091.5	762.2
Non-current assets held for sale	0.0	0.0
Holdings in equity-consolidated companies	3,307.3	2929.4
Investment property	0.0	0.0
Tangible fixed assets	253.7	262.7
Intangible assets	229.6	225.4
Goodwill	2.1	2.1
TOTAL ASSETS	101,142.9	100848.1

Bpifrance consolidated balance sheet at 30 June 2022

LIABILITIES (in millions of euros)	30/06/2022	31/12/2021
Central banks	0.0	0.0
Financial liabilities at fair value through profit or loss	1.2	0.0
Hedging derivatives	28.9	36.5
Debts owed to credit institutions and similar entities	18,907.9	21414.3
Debts owed to clients	2,340.5	2443.2
Debts represented by securities	37,796.8	36402.5
Fair value adjustments to debt portfolios hedged against interest rate	1,321.7	264.5
Current and deferred tax liabilities	89.0	168.8
Accruals and miscellaneous liabilities	3,437.5	2844.1
Lease liabilities	134.1	140.5
Debt related to non-current assets held for sale	0.0	0.0
Provisions	147.0	137.7
Net resources for innovation-related activity	2,373.2	1931.4
- Allocated to commitments	1,090.5	1039.7
- Not allocated	1,282.7	891.7
Public guarantee funds	6,743.4	6690.8
- Allocated to commitments	2,216.3	2378.8
- Not allocated	4,527.1	4312.0
Subordinated debt	7.2	7.2
Shareholders' equity	27,814.5	28366.6
Shareholders' equity - Group share	27,742.2	28340.5
- Capital and related reserves	21,122.4	21122.4
- Consolidated reserves	4,365.5	3235.2
- Gains and losses directly recognised in shareholders' equity	1,224.0	2154.3
- Result	1,030.3	1828.6
Minority interests	72.3	26.1
- Reserves	72.3	26.0
- Result	0.0	0.1
TOTAL LIABILITIES	101,142.9	100848.1

Bpifrance publishable consolidated profit and loss statement

(in millions of euros)

	30/06/2022	31/12/2021	30/06/2021
Interest and similar income	991.9	1827.4	901.0
Interest and similar expenses	-548.9	-944.6	-485.8
Net gains or losses resulting from net position hedging	0.0	0.0	0.0
Fees (income)	54.3	85.0	39.3
Fees (expenses)	-0.8	-3.1	-1.5
Net gains or losses on financial instruments at fair value through profit or loss	465.4	1269.2	526.4
Net gains or losses on financial instruments at fair value through equity	377.5	544.2	447.0
Net gains or losses resulting from the derecognition of financial assets at amortised cost	0.0	0.0	0.0
Net gains or losses resulting from reclassification of financial assets at amortised cost as financial assets at fair value through profit or loss	0.0	0.0	0.0
Net gains or losses from reclassification of financial assets at fair value through equity to financial assets at fair value through profit or loss	0.0	0.0	0.0
Revenue from other activities	124.1	259.3	110.8
Expenses from other activities	-31.2	-121.3	-31.1
NET BANKING INCOME	1,432.3	2,916.1	1,506.1
General operating expenses	-409.5	-786.9	-397.0
Amortisation & depreciation allowances on property, plant and equipment and intangible assets	-41.9	-82.8	-40.8
GROSS OPERATING INCOME	980.9	2,046.4	1068.3
Cost of credit risk	-109.2	-74.6	15.9
NET OPERATING INCOME	871.7	1971.8	1084.2
Share of net income of companies accounted for by the equity method	264.8	225.2	104.0
Net gains or losses on other assets	0.0	-170.0	-169.6
Changes in the value of goodwill	2.2	-13.1	-15.2
PRE-TAX INCOME	1,138.7	2013.9	1003.4
Tax on profits	-108.4	-185.2	-109.5
Net tax result of discontinued activities	0.0	0.0	0.0
NET INCOME	1,030.3	1828.7	893.9
Minority interests	0.0	0.1	0.1
NET INCOME - GROUP SHARE	1,030.3	1828.6	893.8
* Earnings per share (in euros)	1.52	2.70	1.32
* Diluted earnings per share (in euros)	1.52	2.70	1.32

Net income and gains and losses recognised directly in the equity of Bpifrance

(in millions of euros)	30/06/2022	31/12/2021	30/06/2021
NET INCOME	1,030.3	1828.7	893.9
Items that can be reclassified (recyclable) in net income			
<i>Conversion adjustments</i>	0.0	0.0	0.0
<i>Revaluation of recyclable financial assets at fair value through equity</i>	-154.2	-42.5	-39.7
<i>Revaluation of hedging derivatives on recyclable items</i>	0.0	0.0	0.0
<i>Share of gains and losses recognised directly in the equity of equity-consolidated companies using the equity method</i>	85.8	63.9	11.1
<i>Other items recognised through equity and recyclable</i>	0.0	0.0	0.0
<i>Related taxes</i>	39.8	11.0	10.2
Items that cannot be reclassified (non-recyclable) in net income			
<i>Revaluation of fixed assets</i>	0.0	0.0	0.0
<i>Revaluation (or actuarial gains and losses) on defined benefit plans</i>	0.0	1.0	0.0
<i>Revaluation of own credit risk of financial liabilities subject to fair value through profit or loss option</i>	0.0	0.0	0.0
<i>Revaluation of non-recyclable equity instruments recognised at fair value through equity</i>	-1,120.3	2595.2	1889.5
<i>Share of gains and losses recognised directly in equity of companies accounted for using the equity method that cannot be recycled</i>	-203.5	189.3	87.9
<i>Other non-recyclable items recognised through equity</i>	0.0	0.0	0.0
<i>Related taxes</i>	139.6	27.1	68.2
TOTAL GAINS AND LOSSES RECOGNISED DIRECTLY IN EQUITY	-1,212.7	2,845.0	2027.2
NET INCOME AND GAINS AND LOSSES RECOGNISED DIRECTLY IN EQUITY	-182.4	4673.7	2921.1
Of which, group share	-185.1	4673.4	2921.1
Of which, share of minority interests	2.7	0.3	0.0
For information: Amount of non-recyclable items transferred to reserves	-303.2	-7.2	12.8

Changes in equity (group share)

	Capital and related reserves	Reserves	Gains and losses directly recognised in shareholders equity	Use	Total
<i>(in millions of euros)</i>					
Position at 31 December 2020	21 122,4	3 858,8	-779,9	0,0	24 201,3
2020 earnings				-139,6	-139,6
Earnings allocated to reserves	0,0	-139,6	0,0	139,6	0,0
Changes in gains and losses recognised directly in equity	0,0	12,8	2 000,9	0,0	2 013,7
<i>Change in value of financial instruments impacting non-recyclable equity</i>	0,0	0,0	2 039,6	0,0	2 039,6
<i>Change in value of financial instruments impacting recyclable equity</i>	0,0	0,0	-25,9	0,0	-25,9
<i>Transfer of non-recyclable equity instruments recognised at fair value through equity</i>	0,0	12,8	-12,8	0,0	0,0
Actuarial gains and losses on defined benefit plans	0,0	0,0	-0,4	0,0	-0,4
Conversion adjustments	0,0	0,0	7,5	0,0	7,5
Changes in scope	0,0	40,1	80,4	0,0	120,5
Miscellaneous	0,0	0,1	0,2	0,0	0,3
Position at 30 June 2021	21 122,4	3 772,2	1 308,7	0,0	26 203,3
H1 2021 earnings				893,8	893,8
Earnings allocated to reserves	0,0	0,0	0,0	0,0	0,0
Application of the IFRS IC decision on post-employment benefits (see 2.1)	0,0	2,7	0,0	0,0	2,7
Changes in gains and losses recognised directly in equity	0,0	-20,0	786,1	0,0	766,1
<i>Change in value of financial instruments impacting non-recyclable equity</i>	0,0	0,0	771,0	0,0	771,0
<i>Change in value of financial instruments impacting recyclable equity</i>	0,0	0,0	-4,9	0,0	-4,9
<i>Transfer of non-recyclable equity instruments recognised at fair value through equity</i>	0,0	-20,0	20,0	0,0	0,0
Actuarial gains and losses on defined benefit plans	0,0	0,0	4,5	0,0	4,5
Conversion adjustments	0,0	0,0	55,6	0,0	55,6
Distribution of dividends	0,0	-427,2	0,0	0,0	-427,2
Treasury shares	0,0	-21,7	0,0	0,0	-21,7
Changes in scope	0,0	-71,0	-0,4	0,0	-71,4
Miscellaneous	0,0	0,2	-0,2	0,0	0,0
Position at 31 December 2021	21 122,4	3 235,2	2 154,3	0,0	26 511,9
H2 2021 earnings				934,8	934,8
Earnings allocated to reserves	0,0	1 828,6	0,0	-1 828,6	0,0
Changes in gains and losses recognised directly in equity	0,0	-303,2	-1 023,1	0,0	-1 326,3
<i>Change in value of financial instruments impacting non-recyclable equity</i>	0,0	0,0	-1 200,4	0,0	-1 200,4
<i>Change in value of financial instruments impacting recyclable equity</i>	0,0	0,0	-125,9	0,0	-125,9
<i>Transfer of non-recyclable equity instruments recognised at fair value through equity</i>	0,0	-303,2	303,2	0,0	0,0
Actuarial gains and losses on defined benefit plans	0,0	0,0	13,4	0,0	13,4
Distribution of dividends	0,0	-440,7	0,0	0,0	-440,7
Conversion adjustments	0,0	0,0	97,3	0,0	97,3
Changes in scope	0,0	45,8	-18,2	0,0	27,6
Miscellaneous	0,0	-0,2	0,3	0,0	0,1
Position at 30 June 2022	21 122,4	4 365,5	1 224,0	0,0	26 711,9
H1 2022 earnings				1 030,3	1 030,3



Changes in minority interests

Minority interests at 31 December 2020	14.3
Changes in gains and losses recognised directly in equity	-0.1
<i>Change in value of financial instruments impacting equity</i>	-0.1
<i>Changes in value of financial instruments apportioned to earnings</i>	0.0
Distribution of dividends	-1.8
Changes in scope	16.4
Share of H1 2021 earnings	0.1
Minority interests at 30 June 2021	28.9
Changes in gains and losses recognised directly in equity	0.3
<i>Change in value of financial instruments impacting equity</i>	0.3
<i>Changes in value of financial instruments apportioned to earnings</i>	0.0
Distribution of dividends	-0.9
Changes in scope	-2.2
Share of H2 2021 earnings	0.0
Minority interests at 31 December 2021	26.1
Changes in gains and losses recognised directly in equity	2.7
<i>Change in value of financial instruments impacting equity</i>	2.7
<i>Changes in value of financial instruments apportioned to earnings</i>	0.0
Distribution of dividends	-1.7
Changes in scope	45.2
Share of H1 2022 earnings	0.0
Minority interests at 30 June 2022	72.3

Bpifrance Group statement of cash flows

(in millions of euros)	30/06/2022	31/12/2021	30/06/2021
Result before tax	1 138,7	2 013,9	1 003,4
Net depreciation/amortisation expense on property, plant and equipment, and intangible assets	41,9	82,8	40,8
Impairment of goodwill and other non-current assets	-2,2	13,1	15,2
Net allocations to provisions	90,4	75,3	-10,4
Share of net income from equity-consolidated companies	-264,9	-114,6	6,7
Net loss/net gain from investment activities	-342,1	-1 008,2	-967,7
Other movements	193,1	-579,8	-566,6
Other movements (specific to guarantee funds)	52,6	235,2	120,3
Total non-monetary items included in net income before taxes and other adjustments	-231,2	-1 296,2	-1 361,7
Flows related to transactions with credit institutions	-2 448,3	2 726,1	1 949,8
Flows related to transactions with clients	-1 236,9	-2 067,7	-1 997,3
Flows related to other transactions impacting financial assets or liabilities	-592,9	18,7	-234,7
Flows related to other transactions impacting non-financial assets or liabilities	-10,4	714,5	489,6
Flows related to other transactions impacting the innovation business	442,5	39,2	92,7
Taxes paid	-8,0	-254,6	10,8
Net decrease/(increase) in assets and liabilities from operational activities	-3 854,0	1 176,2	310,9
Total net cash flow generated by operational activities (A)	-2 946,5	1 893,9	-47,4
Flows related to financial assets and equity interests	306,9	-148,7	242,4
Flows related to investment properties	0,0	0,0	0,0
Flows related to property, plant and equipment and intangible assets	-32,1	-102,5	-31,7
Total net cash flow related to investment transactions (B)	274,8	-251,2	210,7
Cash flows from or to shareholders	-452,5	-475,6	-15,2
Other net cash flows from financing activities	1 456,6	-418,2	831,1
Total net cash flow related to financing transactions (C)	1 004,1	-893,8	815,9
Impact of exchange rate fluctuations on cash and cash equivalents (D)		0,0	
Net increase/(decrease) in cash and cash equivalents (A+B+C+D)	-1 667,6	748,9	979,2
Net cash flow generated by operational activities (A)	-2 946,5	1 893,9	-47,4
Net cash flow related to investment transactions (B)	274,8	-251,2	210,7
Net cash flow related to financing transactions (C)	1 004,1	-893,8	815,9
Impact of exchange rate fluctuations on cash and cash equivalents (D)	0,0	0,0	0,0
Cash and cash equivalents - opening balance	9 888,4	9 139,5	9 139,5
Cash in hand, central banks (assets & liabilities)	8 600,4	7 819,2	7 819,2
Accounts (assets & liabilities) and sight loans/borrowing from credit institutions	1 288,0	1 320,3	1 320,3
Cash and cash equivalents - closing balance	8 220,8	9 888,4	10 118,7
Cash in hand, central banks (assets & liabilities)	7 030,7	8 600,4	8 619,4
Accounts (assets & liabilities) and sight loans/borrowing from credit institutions	1 190,1	1 288,0	1 499,3
Change in net cash position	-1 667,6	748,9	979,2



III. APPENDIX TO THE CONSOLIDATED FINANCIAL STATEMENTS

of Bpifrance at 30 June 2022

Bpifrance

APPENDIX TO THE CONSOLIDATED FINANCIAL
STATEMENTS

HALF-YEAR SUMMARIES

30 JUNE 2022



Note 1 – ACCOUNTING PRINCIPLES AND METHODS

The condensed half-year consolidated financial statements of the Bpifrance group for the six-month period ending on 30 June 2022 were prepared and are presented in accordance with IAS 34 “Interim Financial Reporting”. Therefore, the notes presented focus on significant items for the period and should be read in conjunction with the audited consolidated financial statements for the year ended 31 December 2021, which are found in the 2021 Universal Registration Document.

Accounting principles and methods adopted

Regulatory framework

The consolidated financial statements of the Bpifrance group have been prepared in accordance with the IFRS standards in effect in the European Union at 30 June 2022.

The accounting principles and methods used to prepare the condensed half-year consolidated financial statements are the same as those used by the group to prepare the consolidated financial statements for the year ended 31 December 2021.

The accounting principles and valuation methods applicable on 31 December 2021 are described in notes 3 to 5 of the 2021 consolidated financial statements.

Furthermore, the group does not apply any standards, interpretations and amendments whose application is currently optional.

Presentation of the consolidated financial statements

The presentation of the condensed financial statements is consistent with the proposal of ANC recommendation No. 2017-02 of 2 June 2017 on the format of consolidated financial statements of banking sector institutions under international accounting standards.

Use of estimates in the preparation of the financial statements

The preparation of the financial statements requires making estimates that involve uncertainties about their occurrence. In particular, post-employment commitments were measured at 30 June 2022 by extrapolating the actuarial valuation performed at 31 December 2021.

Seasonal, cyclical or non-recurring nature of activities

Other than the provision for paid leave, which recognises vested rights to leave not yet taken at 30 June, the group's activities are not seasonal, cyclical or non-recurring in nature.

Note 2 - EVENTS DURING THE PERIOD

2.1 Significant events during the period

2.1.1. War in Ukraine

Russia's invasion of Ukraine - on 24 February 2022 - has led to instability in the financial markets and the wider economy, as well as the unprecedented implementation of new regulations on economic sanctions by the international community.

Because of its vocation to primarily finance French companies, the Bpifrance group's direct exposure to Russia, Ukraine and Belarus is very limited and low, of the order of €5m relating to the net risk of exposures linked to export credits financing Ukrainian buyers in the context of the support provided by Bpifrance to French exporters.

Of the three equity investments made by Bpifrance Participations in Russian entities, which have not yet been targeted by French, European or American economic sanctions, but which were made alongside a Russian partner currently targeted by European and American economic sanctions, two of them were sold in the second quarter of 2022 and a sale agreement is being finalised for the third. This position has been fully impaired in the balance sheet of the Bpifrance group at 30 June 2022.

The impact of this crisis on Bpifrance's client loan portfolio is assessed through the calculation of expected losses. The effect on growth and the macroeconomic outlook is taken into account in updating the macroeconomic scenarios used in the forward-looking information. The effect of supply difficulties, raw material costs and energy costs is incorporated through adjustments.

In addition, it should be recalled that the Bpifrance Group includes Bpifrance Assurance Export, which acts in the name of, on behalf of and under the exclusive control of the French State with regard to the support of French exports. As such, this subsidiary is involved in the negotiation, implementation and monitoring of this public support for French exports. These exposures, directly borne by the State (and not on Bpifrance's balance sheet), represent a little over €560m for Ukraine and around €1bn for Russia.

2.1.2. Calculation of expected credit losses

Financial years 2020 and 2021 were marked by the unprecedented health crisis of Covid-19. In 2022, the economic and social repercussions of the pandemic, particularly due to supply difficulties, have been accentuated by the war in Ukraine.

In the first half of 2022, the Bpifrance group recorded a net allocation of €95 million in cost of risk, which breaks down into an allocation for proven risk of €43 million (bucket 3) and an allocation for expected risk of €52 million (buckets 1 and 2).

Update of the forward-looking scenarios

Details of the scenarios

Since 30 June 2020, Bpifrance has used four forward looking scenarios for the calculation of the ECLs. These scenarios were updated in June 2022. The downgraded and severely downgraded scenarios have been replaced by an inflationary downgraded scenario with a bond crash and an L-shaped downgraded scenario, respectively.

Because Bpifrance's clients are solely French companies, the scenarios defined concern French macroeconomic indicators only. The indicators used are the GDP growth rate, changes in the consumer price index, the unemployment rate, and one-year and ten-year French treasury bond (OAT) rates.

The scenarios take into account the impact of multiple supply difficulties on the French economy. In particular, it is assumed that oil and gas prices will be persistently high, due to a market balance altered by the embargo on Russian products, and that there will be sustained pressure on the prices of some non-energy commodities. Thus, inflation may be high throughout 2022 and could weigh on purchasing power, despite economic policy measures aimed at limiting the consequences of these tensions on both household consumption and the financial situation of companies. In this context, activity may slow down in 2022 and the unemployment rate could increase very slightly. The "France Relance" and "France 2030" plans could nevertheless continue to support activity in 2022 and in the medium term.

With inflation persistently higher than previously expected, the ECB's monetary policy normalisation could take place earlier than expected at the end of 2021, putting upward pressure on bond yields, allowing inflation to gradually return to a level close to its 2% target.

Uncertainties about growth prospects remain high. The optimistic scenario anticipates more dynamic growth in 2022 due to a rapid decline in input prices and consequently in inflation, thus limiting the pressure on purchasing power. Conversely, the downside scenario (inflationary with bond crash) envisages more violent and long-lasting tensions on supplies and prices, leading to greater stress on sovereign rates. Moreover, the consequences on the French productive fabric would be persistent, which would strongly limit the economy's capacity to rebound and lead to a more marked deterioration of the labour market. The alternative L-shaped scenario assumes a strong recessionary shock of a health, financial or cyclical nature, followed by stagnation due to a lasting impact on French production capacity, resulting in a fall in inflation and permanently low interest rates.

Change in weightings

The weightings of the June 2022 scenarios have been changed from the previous year. The choice of these weightings is largely based on that of the CDC Group.

Scenario	Weightings 30/06/22	Weightings 31/12/21
Optimistic	10%	15%
Central	65%	55%
Inflationary downgrade with bond crash / Downgrade	15%	20%
L-shape degraded / Severely degraded	10%	10%



Methodological adjustments to the model

Correlation between growth rate and default rate

The health crisis context of the years 2020 and 2021 required the application of a methodological adjustment to the Bpifrance ECL (Expected Credit Losses) calculation model, to correct the observed decorrelation between the economic context and the default rates.

Bpifrance does not include the data from 2020 and 2021 in the calibration of the ECL calculation model at 30 June 2022, and continues to use the parameters used at the end of 2019.

The effect of not recalibrating the model is an increase in ECL of €47m.

Correlation between inflation rate and default rate

The international context at the beginning of 2022 translates into sharply rising inflation projections, at levels well above the values present in the calibration history of the models. The correlation observed historically in Bpifrance portfolios between inflation and default is negative: rising inflation is associated with a decrease in defaults.

Therefore, updating this projected inflation has a strong counter-intuitive effect in the results of the model, as it would result in a large decrease in the calculated amount of ECL. This result is explained by the change in the current inflation regime compared with the last ten years and does not correspond to the expected effects of this shock on French business failures.

To mitigate this effect, Bpifrance has decided to neutralise the effect of inflation in the update of the ECLs, by retaining in its macroeconomic scenarios the inflation trajectories defined at 31 December 2021.

The effect of this neutralisation of inflation effects is an increase in the ECL of €159m.

Sector-based adjustments

Tourism and leisure

Tourism and leisure professionals are among those most affected by the COVID-19 pandemic. As such, this sector was subject to expert adjustment of internal ratings in the calculation of ECLs. Activity in the sector has now returned to a very satisfactory level, and the effects of the 2020 crisis are incorporated into the companies' financial statements on which the internal rating is based.

In this context, the expert adjustment of the tourism sector ratings has been removed for the calculation of ECLs at 30 June 2022; this adjustment amounted to €27m at 31 December 2021.

Industry

The significant tensions on supplies that appeared during 2021 continued and amplified in 2022 due to the international context. These difficulties concern both raw materials, components and transport. These tensions are considered to be long-lasting (with a horizon of more than 12 months) and affect companies in the industry sector, worsening their financial situation (impact on profitability, cash flow and working capital requirements).

In order to incorporate the foreseeable effects on the solvency of the companies concerned, an adjustment is applied to companies in the industry sector. This adjustment increases ECL by €44 million.



Cost of energy

The sectors most affected by the increase in energy costs are energy (excluding renewable energies), paper/cardboard, printing, chemical industry, wood and furniture, mechanical and metal industry. The internal ratings of the companies concerned are adjusted when calculating the ECLs. This adjustment increases ECL by €53 million.

Photovoltaic energy

The 2021 Finance Act provides for a revision of the buy-back tariffs for certain photovoltaic installations. This results in a very significant reduction in future income for the operators of these facilities. As a result, the ability of the companies concerned to repay their debt is uncertain.

To take account of this risk, the loans concerned are classified in bucket 2 as of 31 December 2021. The effect of this downgrading is an increase in the ECL of €40m, unchanged at 30 June 2022.

Other forward-looking adjustments

The cash flow of French companies has been massively supported since the spring of 2020 through the distribution of state-guaranteed loans. These loans included a one-year grace period, which could be extended for an optional year thereafter. As a result, the bulk of the state-guaranteed loans enter the amortization period in the second and third quarters of 2022. This increase in the debt burden after two years of deferred repayment could put some companies that have benefited from a state-guaranteed loan in difficulty.

In order to take into account this risk on the repayment capacity of the companies, an adjustment to the ECL of €90 million has been made in addition to the results of the models, an amount which remains unchanged at 30 June 2022.

Measurement of the significant increase in credit risk

Bpifrance uses the following significant credit risk increase criteria to allocate its exposures to the various buckets:

- Non-performing exposures are classified in bucket 3;
- Performing exposures are classified in bucket 2 if they meet one of the following criteria:
 - o The counterparty is placed on a watch list;
 - o The counterparty's annualised probability of default at maturity on the calculation date is greater than 20%;
 - o The counterparty's annualised probability of default on the calculation date has increased by over 2% relative to the probability of default on the decision date, and the increase in the annualised probability of default at maturity is greater than 95% of the probability of default on the decision date.
- Performing exposures that do not meet any of the above conditions are classified in bucket 1.

Ordinarily, Bpifrance takes advantage of the possibility afforded by the standard to use the one-year probability of default as a measure of a significant increase in credit risk as an approximation of the probability of default at maturity.

In the context of the health crisis, which was marked by a significant rebound in activity following a very sharp economic shock, the probability of default at one year could not be considered a good approximation of the probability of default over the entire lifetime of the credit. To overcome this problem, the determination of whether credit risk has significantly increased had been adjusted by adding a lifetime dimension to the probability of default. This probability of default is compared to the one-year probability of default at the origin of the instrument. The absolute and relative thresholds used in

assessing significant increase in credit risk have not been modified. This adjustment was maintained at 30 June 2022 although the impact is now marginal.

Effects of the guarantee on the determination of the ECL for state-guaranteed loans

The determination of expected losses on state-guaranteed loans takes this guarantee into account. The ECL is calculated only on the non-guaranteed part of the loans.

Sensitivity analysis of the ECL to macroeconomic scenarios

As described above, the four macroeconomic scenarios used in the calculation of the ECL at 30 June 2022 correspond to very different economic situations. Consequently, they lead to significantly different amounts of ECL⁵.

Scenario	Amount of ECL in case of 100% scenario weighting (M€)	As a percentage of the ECL recorded at 30/06/22
Optimistic	610	89%
Central	649	94%
Inflationary downgrade with bond crash / Downgrade	795	115%
L-shape degraded / Severely degraded	864	125%

Loan portfolio

- **Breakdown of gross carrying amounts (excluding accounts opened with Agence France Trésor (AFT))**

(In € millions)	Bucket 1 Expected losses at 12 months	Bucket 2 Expected losses at maturity	Bucket 3 Expected losses at maturity	TOTAL
Opening balance	32 294	11 723	2 339	46 356
Closing balance	31 087	14 111	2 225	47 423

- **Breakdown of expected credit losses**

(In € millions)	Bucket 1 Expected losses at 12 months	Bucket 2 Expected losses at maturity	Bucket 3 Expected losses at maturity	TOTAL
Opening balance	138	454	535	1 127
Closing balance	128	505	577	1 210

2.2 Post balance sheet events

No significant events have occurred after the balance sheet date.

⁵ The calculations of sensitivity to the scenarios are made without adjustments to the photovoltaic sector and to the repayment capacity of companies that have benefited from a state-guaranteed loan. The €130m adjustment is added to the result of the calculations for each scenario.



Note 3 - CONSOLIDATION SCOPE

The consolidated financial statements of the Bpifrance group include all exclusively controlled companies, except those whose consolidation does not materially impact the preparation of the group's consolidated financial statements.

The accounts of exclusively controlled companies are fully consolidated.

Change in the consolidation scope in the first half of 2022

The consolidation scope of the Bpifrance Group at 30 June 2022 has changed compared the last year-end closing of the consolidated financial statements at 31 December 2021. It now fully includes the accounts of the Bpifrance Capital 2 fund since 7 June 2022.

In addition, the Part'Com fund was removed from the scope of consolidation following its liquidation on 26 October 2021.

The following table lists the consolidated companies, the percentage of their capital that is held directly or indirectly, and the consolidation method used.

Note 4 - RESOURCES

The tables below show loans in excess of €100 million taken out or repaid (in full by date) over the period.

Name	Consolidation method	30/06/2022 % interest	30/06/2022 % of voting rights	31/12/2021 % of voting rights
BpiFrance - MAISONS-ALFORT	Full	100%	100%	100%
BpiFrance Regions - MAISONS-ALFORT	Full	99,99%	99,99%	99,99%
Auxi-Finances - MAISONS-ALFORT	Full	100%	100%	100%
SCI BpiFrance - MAISONS-ALFORT	Full	100%	100%	100%
BpiFrance Brokerage - MAISONS-ALFORT	Full	100%	100%	100%
FCT BpiFrance SME 2019-01 - SAINT-DENIS	Full	100%	100%	100%
FCT BpiFrance TPE Digital - SAINT-DENIS	Full	100%	100%	100%
FCT BpiFrance SME 2020-01 - SAINT-DENIS	Full	100%	100%	100%
FCT Prêts d'Honneur - SAINT-DENIS	Full	100%	100%	100%
BpiFrance Assurance Export - MAISONS-ALFORT	Full	100%	100%	100%
BpiFrance Participations - MAISONS-ALFORT	Full	100%	100%	100%
FSI PME Portefeuille - MAISONS-ALFORT	Full	100%	100%	100%
FFI Class A Shares - MAISONS-ALFORT	Full	100%	100%	100%
FFI Class B Shares - MAISONS-ALFORT	Full	100%	100%	100%
SME FUND of FUNDS - MAISONS-ALFORT	Full	100%	100%	100%
FFI 2 - MAISONS-ALFORT	Full	100%	100%	100%
FFI 3 - MAISONS-ALFORT	Full	100%	100%	100%
FFI 4 - MAISONS-ALFORT	Full	100%	100%	100%
FFI 5 - MAISONS-ALFORT	Full	100%	100%	100%
FPMEI - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Croissance 1 - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Croissance 2 - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Croissance 3 - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Croissance 4 - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Croissance 5 - MAISONS-ALFORT	Full	100%	100%	100%
FIC PRIVATE DEBT - MAISONS-ALFORT	Full	100%	100%	100%
FIC PRIVATE DEBT II - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Régions 1 - MAISONS-ALFORT	Full	94%	94%	100%
France Investissement Régions 2 - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Régions 3 - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Régions 4 - MAISONS-ALFORT	Full	100%	100%	100%
France Investissement Tourisme - MAISONS-ALFORT	Full	100%	100%	100%
Avenir Entreprise Développement C1 - MAISONS-ALFORT	Full	100%	100%	100%
Avenir Entreprise Développement C2 - MAISONS-ALFORT	Full	100%	100%	100%
Avenir Entreprise Développement C4 - MAISONS-ALFORT	Full	100%	100%	100%
Avenir Entreprise Mezzanine - MAISONS-ALFORT	Full	66,84%	66,84%	66,84%
Avenir Entreprise Investissement - MAISONS-ALFORT	Full	100%	100%	100%
Avenir Tourisme - MAISONS-ALFORT	Full	100%	100%	100%
ETI2020 - MAISONS-ALFORT	Full	100%	100%	100%
CDC Entreprises Capital Investissement - PARIS	Full	100%	100%	100%
FCPR Part'Com - PARIS	Full	-	-	100%
FSN Ambition Numérique - MAISONS-ALFORT	Full	100%	100%	100%
BpiFrance Innovation 1 Venture - MAISONS-ALFORT	Full	100%	100%	100%
BpiFrance Capital 1 - MAISONS-ALFORT	Full	100%	100%	100%
BpiFrance Mezzanine 1 - MAISONS-ALFORT	Full	100%	100%	100%
BpiFrance International Capital - MAISONS-ALFORT	Full	100%	100%	100%
FEF Capital - MAISONS-ALFORT	Full	100%	100%	100%
BpiFrance Investissement - MAISONS-ALFORT	Full	100%	100%	100%
BpiFrance Innovation 1 Large Venture II - MAISONS-ALFORT	Full	100%	100%	100%
ETI22 - MAISONS-ALFORT	Full	94%	94%	100%
BpiFrance Capital 2 - MAISONS-ALFORT	Full	100%	100%	-
Alsabail - STRASBOURG	Equity	40,69%	40,69%	40,69%
Tyrol Acquisition (TDF Group) - Luxembourg	Equity	23,99%	23,99%	23,99%
Eutelsat Communications - PARIS	Equity	20,00%	20,00%	20,01%
STConso (Level with STM Consolidated at 27.71%) - GENEVA	Equity	50,00%	50,00%	50,00%
Future French Champion - MAISONS-ALFORT	Equity	50,00%	50,00%	50,00%
Fonds Lac I - MAISONS-ALFORT	Equity	32,91%	32,91%	34,01%

Loans taken out during the period

(in millions of euros)

Type	Amount	Term (in years)	Maturity
OBL BPIFF 2.125 29/11/2027	1 250,0	5	29/11/2027
OBL BPIFF 0.125 25/11/2028	1 250,0	6	25/11/2028
OBL BPIFF 0.50% 25/05/2025	650,0	3	25/05/2025
CD BPIFF IPA 14/06/2022	200,0	0	14/06/2022
CD BPIFF IPA 18/03/2022	150,0	0	18/03/2022
CD BPIFF IPA 12/04/2023	149,0	1	12/04/2023
CD BPIFF IPA 13/01/2023	125,0	1	13/01/2023
CD BPIFF IPA 18/01/2023	125,0	1	18/01/2023
CD BPIFF IPA 07/06/2022	120,0	0	07/06/2022
CD BPIFF IPA 12/08/2022	115,2	0	12/08/2022
CD BPIFF ESTR 1.5 19/08/2022	106,0	0	19/08/2022
CD BPIFF IPA 03/06/2022	100,0	0	03/06/2022
CD BPIFF IPA 30/06/2022	100,0	0	30/06/2022
CD BPIFF ESTR 7 04/07/2022	100,0	0	04/07/2022
CD BPIFF ESTER 6 07/07/2022	100,0	0	07/07/2022
CD BPIFF ESTER 7 11/07/2022	100,0	0	11/07/2022
CD BPIFF IPA 25/07/2022	100,0	0	25/07/2022
CD BPIFF IPA 08/08/2022	100,0	0	08/08/2022
CD BPIFF IPA 02/09/2022	100,0	0	02/09/2022
CD BPIFF IPA 08/09/2022	100,0	0	08/09/2022
CD BPIFF IPA 12/09/2022	100,0	0	12/09/2022
CD BPIFF IPA 23/09/2022	100,0	0	23/09/2022
CD BPIFF IPA 28/09/2022	100,0	0	28/09/2022
CD BPIFF IPA 27/12/2022	100,0	0	27/12/2022
CD BPIFF IPA 23/01/2023	100,0	1	23/01/2023
CD BPIFF IPA 31/01/2023	100,0	1	31/01/2023
CD BPIFF IPA 24/02/2023	100,0	1	24/02/2023
CD BPIFF IPA 14/03/2023	100,0	1	14/03/2023
CD BPIFF IPA 30/03/2023	100,0	1	30/03/2023
CD BPIFF IPA 05/04/2023	100,0	1	05/04/2023
CD BPIFF IPA 06/04/2023	100,0	1	06/04/2023
CD BPIFF IPA 03/05/2023	100,0	1	03/05/2023
CD BPIFF IPA 02/06/2023	100,0	1	02/06/2023
OBL BPIFF 2.75 25/10/2025	100,0	3	25/10/2025

100 million tons

Loans repaid during the half-year

(in millions of euros)

Loan repayment date	Amount
29/06/2022	2 000,0
25/04/2022	1 250,0
23/03/2022	200,0
14/06/2022	200,0
02/05/2022	165,0
17/01/2022	150,0
19/01/2022	150,0
18/03/2022	150,0
25/04/2022	150,0
15/03/2022	149,0
04/01/2022	125,0
16/05/2022	120,0
07/06/2022	120,0
16/02/2022 (*)	115,2
27/05/2022	102,0
06/01/2022	100,0
07/01/2022	100,0
10/01/2022	100,0
14/01/2022	100,0
24/01/2022	100,0
24/01/2022	100,0
08/02/2022	100,0
09/02/2022	100,0
23/02/2022	100,0
25/04/2022	100,0
01/06/2022	100,0
03/06/2022	100,0
30/06/2022	100,0

100 million tons

Note 5 - FINANCING AND GUARANTEE COMMITMENTS

(in millions of euros)	30/06/2022	31/12/2021
Commitments made	22 308,1	20 992,4
Credit financing commitments	9 178,7	8 255,6
<i>to credit institutions</i>	20,0	20,0
<i>to clients</i>	9 158,7	8 235,6
Innovation aid financing commitments	266,1	226,6
Guarantee commitments	12 863,3	12 510,2
<i>to credit institutions</i>	0,0	0,0
<i>to clients</i>	12 863,3	12 510,2
Commitments on securities (securities deliverable)	0,0	0,0
Commitments received	3 401,4	2 577,9
Credit financing commitments received from credit institutions	1 739,7	916,7
Guarantee commitments received from credit institutions	1 661,7	1 661,1
Commitments on securities (securities receivable)	0,0	0,1

Bpifrance recorded for its forward foreign exchange transactions at 30 June 2022 a foreign currency outstanding receivable of €786.5 million (€926.5 million at 31 December 2021) and an outstanding amount of €789.3 million (€908.4 million at 31 December 2021), as well as a euro outstanding to be recovered of €23.1 million and a currency outstanding to be delivered of €23.3 million.

Note 6 - SECTOR-BASED INFORMATION

The Bpifrance Group primarily carries out the following business activities:

- medium- and long-term loans: medium- and long-term financing in the form of direct loans, equipment and real estate leasing and finance leasing; this also include innovation loans;
- short-term financing includes in public liabilities financing in metropolitan France and the overseas departments and territories, either directly or by signature;
- guarantee coverage covers banks and equity funding institutions from the risks of default of funding recipients;
- innovation financing aid in the form of repayable advances or grants,
- equity investment activities in the form of direct investments, investments or via direct funds (Development Capital Investment) or in the form of indirect investments via funds of funds (Investment in Funds of Funds),
- international: a subsidiary of Bpifrance, Bpifrance Assurance Export manages public export guarantees in the name and on behalf of the State.

The “Other” item includes the business performed mainly by the real estate structures (SCI Bpifrance, Auxifinances), export credit, Digital Innovation Invest, the support activity as well as the business line “Entrepreneurship and Regions”.

(in millions of euros)

30/06/2022	Financing	Guarantee	Financing of Innovation	Development Capital Investment	Investment in Funds of Funds	International	Others	Total	Expected amount
NBI	357,3	65,0	46,7	463,8	440,2	25,6	33,7	1 432,3	1 432,3
Overhead expenses	-151,3	-28,4	-61,0	-61,4	-17,8	-28,4	-103,2	-451,4	-451,4
Cost of risk	-83,1	0,0	-12,1	0,0	0,0	0,0	-13,9	-109,2	-109,2
Operating results	122,9	36,6	-26,5	402,5	422,4	-2,8	-83,4	871,7	871,7

31/12/2021	Financing	Guarantee	Financing of Innovation	Development Capital Investment	Investment in Funds of Funds	International	Others	Total	Expected amount
NBI	723,1	132,2	92,9	718,7	1 118,4	46,3	84,5	2 916,1	2 916,1
Overhead expenses	-277,9	-71,5	-118,0	-116,8	-35,7	-53,4	-196,4	-869,7	-869,7
Cost of risk	-16,6	0,0	-43,6	0,0	0,0	0,0	-14,5	-74,6	-74,6
Operating results	428,7	60,8	-68,7	601,8	1 082,8	-7,1	-126,4	1 971,8	1 971,8

30/06/2021	Financing	Guarantee	Financing of Innovation	Development Capital Investment	Investment in Funds of Funds	International	Others	Total	Expected amount
NBI	341,2	58,7	47,1	529,9	461,6	22,9	44,8	1 506,1	1 506,1
Overhead expenses	-146,5	-31,6	-60,0	-63,0	-17,6	-26,9	-92,2	-437,8	-437,8
Cost of risk	20,1	0,0	-3,6	0,0	0,0	0,0	-0,5	15,9	15,9
Operating results	214,7	27,0	-16,5	466,9	444,0	-4,0	-48,0	1 084,2	1 084,2

(in millions of euros)

Gross outstandings	30/06/2022	31/12/2021
Medium and long-term loans	38 900,0	37 598,2
of which Innovation loans	1 496,9	1 326,1
Short-term financing	2 266,0	2 429,6
Innovation financing aid	963,5	964,3
Guarantees provided	12 863,3	12 510,2

At 30 June 2022, the guarantee funds totalled €6,743.4 million, compared with €6,690.8 million at 31 December 2021.

Subsidies granted in connection with the innovation business totalled €63.5 million, compared with €134.1 million at 31 December 2021.

Note 7 - DIVIDENDS PAID

Bpifrance decided to distribute a dividend of €0.65 per share, i.e. €440.7m, after the distribution on 24 December 2021 of an interim dividend of €0.63 per share, i.e. €427.2 million.

Note 8 - INFORMATION ON FAIR VALUE

(in millions of euros)	30/06/2022			
	Level 1	Level 2	Level 3	Total
ASSETS				
Financial assets at fair value through profit or loss	223,4	50,0	6 528,7	6 802,1
- Bonds and fixed-income securities	0,0	0,0	1 486,4	1 486,4
- UCITS units	223,4	50,0	80,0	353,4
- Other assets at fair value through profit or loss	0,0	0,0	4 962,3	4 962,3
- Transaction derivatives	0,0		0,0	0,0
of which currency exchange derivatives	0,0		0,0	0,0
Hedging derivatives	0,0	30,3	0,0	30,3
- Fair value hedging	0,0	0,0	0,0	0,0
- Cash flow hedging	0,0	0,0	0,0	0,0
- Hedging of net foreign currency investments	0,0	0,0	0,0	0,0
- Total hedging restricted to fair value	0,0	30,3	0,0	30,3
Financial assets at fair value through equity	9 454,3	497,5	6 532,1	16 483,9
- Bonds and fixed-income securities	1 825,4	387,3	0,0	2 212,7
- Equities and other variable income securities	7 628,9	110,2	6 532,1	14 271,2
Securities at amortised cost	8 498,8	0,0	0,0	8 498,8
- Government bonds	7 300,9	0,0	0,0	7 300,9
- Other bonds	926,1	0,0	0,0	926,1
- Negotiable debt instruments	271,8	0,0	0,0	271,8
Loans and receivables owed by credit institutions and similar entities, at amortised cost	1 282,4	307,1	0,0	1 589,5
Loans and receivables owed by clients, at amortised cost	0,0	45 962,4	0,0	45 962,4
Finance leases and similar transactions, at amortised cost	0,0	5 961,0	0,0	5 961,0
LIABILITIES				
Financial liabilities at fair value through profit or loss	0,0	1,2	0,0	1,2
- Borrowings and term deposits	0,0	0,0	0,0	0,0
- Debts represented by securities	0,0	0,0	0,0	0,0
- Liabilities on securities	0,0	0,0	0,0	0,0
- Other liabilities at fair value through profit or loss	0,0	0,0	0,0	0,0
- Transaction derivatives	0,0	1,2	0,0	1,2
of which currency exchange derivatives	0,0	1,2	0,0	1,2
Hedging derivatives	0,0	28,9	0,0	28,9
- Fair value hedging	0,0	24,1	0,0	24,1
- Cash flow hedging	0,0	0,0	0,0	0,0
- Hedging of net foreign currency investments	0,0	0,0	0,0	0,0
- Total hedging restricted to fair value	0,0	4,8	0,0	4,8
Debts owed to credit institutions and similar entities	0,0	18 889,3	0,0	18 889,3
Debts owed to clients	0,0	2 256,1	0,0	2 256,1
Debts represented by securities	36 784,8	0,0	0,0	36 784,8

There were no significant transfers between fair value levels 1 and 2 during the period.

(in millions of euros)	31/12/2021			
	Level 1	Level 2	Level 3	Total
ASSETS				
Financial assets at fair value through profit or loss	173,4	51,8	6 087,0	6 312,2
- Bonds and fixed-income securities	0,0	0,0	1 367,8	1 367,8
- UCITS units	173,4	40,0	88,1	301,5
- Other assets at fair value through profit or loss	0,0	0,0	4 631,1	4 631,1
- Transaction derivatives	0,0	11,8	0,0	11,8
of which currency exchange derivatives	0,0	11,8	0,0	11,8
Hedging derivatives	0,0	11,0	0,0	11,0
- Fair value hedging	0,0	6,0	0,0	6,0
- Cash flow hedging	0,0	0,0	0,0	0,0
- Hedging of net foreign currency investments	0,0	0,0	0,0	0,0
- Total hedging restricted to fair value	0,0	5,0	0,0	5,0
Financial assets at fair value through equity	11 906,4	521,5	6 051,9	18 479,8
- Bonds and fixed-income securities	2 687,7	452,6	0,0	3 140,3
- Equities and other variable income securities	9 218,7	68,9	6 051,9	15 339,5
Securities at amortised cost	8 424,1	4,7	0,0	8 428,8
- Government bonds	8 242,6	4,3	0,0	8 246,9
- Other bonds	181,5	0,4	0,0	181,9
- Negotiable debt instruments	0,0	0,0	0,0	0,0
Loans and receivables owed by credit institutions and similar entities, at amortised cost	1 414,2	301,7	0,0	1 715,9
Loans and receivables owed by clients, at amortised cost	0,0	46 763,8	0,0	46 763,8
Finance leases and similar transactions, at amortised cost	0,0	6 318,8	0,0	6 318,8
LIABILITIES				
Financial liabilities at fair value through profit or loss	0,0	0,0	0,0	0,0
- Borrowings and term deposits	0,0	0,0	0,0	0,0
- Debts represented by securities	0,0	0,0	0,0	0,0
- Liabilities on securities	0,0	0,0	0,0	0,0
- Other liabilities at fair value through profit or loss	0,0	0,0	0,0	0,0
- Transaction derivatives	0,0	0,0	0,0	0,0
of which currency exchange derivatives	0,0	0,0	0,0	0,0
Hedging derivatives	0,0	36,5	0,0	36,5
- Fair value hedging	0,0	23,6	0,0	23,6
- Cash flow hedging	0,0	0,0	0,0	0,0
- Hedging of net foreign currency investments	0,0	0,0	0,0	0,0
- Total hedging restricted to fair value	0,0	12,9	0,0	12,9
Debts owed to credit institutions and similar entities	0,0	21 431,0	0,0	21 431,0
Debts owed to clients	0,0	2 423,9	0,0	2 423,9
Debts represented by securities	36 950,6	0,0	0,0	36 950,6

Quantitative information on unobservable inputs at 30 June 2022 (Level 3 fair value)

Instruments concerned	Valuation techniques used	Principal unobservable inputs	Unobservable data intervals
Unlisted shares	- Discounted free cash flow (DCF) - Stock market multiples - Transaction multiples - Entry multiples - Capital raising - Cost of investment	1. Budget and business plan 2. Company accounts and landing 3. Discount rate 4. Perpetual growth rate 5. Cost of the investment	1. No interval 2. No interval 3. 5% to 20% 4. 0% to 3% 5. No interval
FCPR	Valuation by fair value, thus: - for listed securities: spot price or weighted average price on the day of the valuation with possible application of a discount for marketability/liquidity - for unlisted securities: cost of the investment; multiples (stock market and/or transaction) with possible application of discounts for marketability, size and comparability	1. Cost of the investment 2. Tradability discount 3. Size discount 4. Comparability discount 5. Cash flow at fund level	1. No interval 2. 0 to 20% 3. 0 to 30% 4. 0 to 30% 5. No interval
Bonds convertible into shares	- DCF - Contractual clauses (e.g. quota)	1. Nominal 2. Cash interest 3. Capitalised interest (PIK) 3. Non-conversion premium (NCP) 4. Quota	1. No interval 2. 0% to 10% 3. 0% to 10% 4. Target IRR of 0-20% 4. 0% to 100%
Share subscription warrants (BSA)	- DCF - Stock market multiples - Transaction multiples - Entry multiples - Contractual clauses (e.g.: quota)	1. Budget and business plan 2. Company accounts and landing 3. Discount rate 4. Perpetual growth rate 5. Quota	1. No interval 2. No interval 3. 5% to 20% 4. 0% to 3% 5. 0% to 100%

Change in the balance of financial instruments measured at fair value under Level 3

	30/06/2022		
	Financial assets at fair value through profit or loss	Financial assets at fair value through equity	Total
(in millions of euros)			
Balance at 1 January	6 087,1	6 051,9	12 139,0
Gains/losses for the period	270,9	-132,2	138,8
Recognised in profit or loss (*)	270,9	0,0	270,9
Accounted in equity	0,0	-132,2	-132,2
Perimeter entry	0,0	0,0	0,0
Purchases for the period	713,6	422,3	1 135,9
Sales for the period	-543,6	190,0	-353,6
Emissions for the period	0,0	0,0	0,0
Outcomes for the period	0,0	0,0	0,0
Reclassifications for the period	0,0	0,0	0,0
Transfers	0,7	0,0	0,7
To level 3	0,7	0,0	0,7
Outside level 3	0,0	0,0	0,0
Balance at 31 December	6 528,7	6 532,1	13 060,8

(*) Gains and losses from financial assets held in the balance sheet at the balance sheet date amount to ELIF 270.9 million recognised in "Net gains or losses on financial instruments at fair value through profit or loss" of which ELIF 9.9 million on the revaluation of bonds and fixed income securities and ELIF 261.0 million on equity financial instruments



Fair value sensitivity of Level 3 financial instruments

Since the estimation of the fair value of Level 3 financial instruments requires judgement, a change in the assumptions of unobservable inputs would result in a significant change in this fair value.

At 30 June 2022, an upward change of 1% in the valuation of the portfolios of assets measured at fair value through profit or loss and of assets measured at fair value through equity would have an impact on the profit and loss statement and on shareholders' equity of respectively €48.4 million and €63.3 million. A downward change of 1% would have an impact on the profit and loss statement and on shareholders' equity of €-48.4 million and €-63.3 million respectively.



IV. STATUTORY AUDITORS' REPORT ON THE 2022 HALF-YEAR FINANCIAL INFORMATION

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CS 80055
92056 Paris-La Défense Cedex
France

PricewaterhouseCoopers Audit
63 rue de Villiers
92208 Neuilly-sur-Seine Cedex
France

Bpifrance

**Report of the statutory auditors' limited review of
the condensed half-year consolidated financial
statements**

Period from 1 January 2022 to 30 June 2022

Bpifrance

27-31, Avenue du Général Leclerc - 94700 Maisons-Alfort

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2 Avenue Gambetta
CS 80055
92066 Paris-La Défense Cedex
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63 rue de Villiers
92208 Neuilly-sur-Seine Cedex
France

Bpifrance

Registered office: 27-31, Avenue du Général Leclerc - 94700 Maisons-Alfort

Share capital: € 5,440,000,000

Report of the statutory auditors' limited review of the condensed half-year consolidated financial statements

Period from 1 January 2022 to 30 June 2022

To the shareholders,

In our capacity as statutory auditors of Bpifrance and in response to your request, we have performed a limited review of the accompanying condensed half-year consolidated financial statements for the period from 1 January 2022 to 30 June 2022.

These condensed half-year consolidated financial statements have been prepared under the responsibility of the Board of Directors. It is our responsibility to express our conclusion on these financial statements based on our limited review.

We performed our limited review in accordance with professional standards applicable in France and with the professional guidance issued by the "Compagnie Nationale des Commissaires aux Comptes" (CNCC) relating to this intervention.

A limited review consists principally of making inquiries of persons responsible for financial and accounting matters and applying analytical procedures. A limited review is substantially less in scope than an audit performed in accordance with professional standards applicable in France. Consequently, the assurance that the accounts, taken as a whole, are free of material misstatements obtained in the context of a limited review is a moderate assurance, lower than that obtained in the context of an audit.

Based on our review, nothing has come to our attention that causes us to believe that the accompanying condensed interim consolidated financial statements are not prepared, in all material respects, in accordance with IAS 34, the standard of the IFRS as adopted by the European Union applicable to interim financial information.

The Statutory Auditors,

Paris La Défense, 3 October 2022

KPMG Audit FS I

Neuilly-sur-Seine, 3 October 2022

PricewaterhouseCoopers Audit

Nicolas Bourhis
Partner

Pierre Clavié
Partner



V. PERSON RESPONSIBLE FOR THE HALF-YEAR CONSOLIDATED FINANCIAL STATEMENTS

Responsible person

Mr Arnaud CAUDOUX: Executive Director

Statement by the person responsible

I certify that, to my knowledge, the reviewed financial statements for the past six months were prepared in accordance with the applicable accounting standards and provide a true and fair view of the assets, financial position and results of the company and all companies within the consolidation scope, and that the half-year business report on pages 3 to 23 presents a fair overview of major events that have occurred during the first six months of the year, their impact on the financial statements, and a description of the main risks and uncertainties for the remaining six months of the year.

Maisons-Alfort, 3 October 2022

**Bpifrance**

A French limited liability company (*société anonyme*) with a Board of Directors
With a share capital of € 5 440 000 000
320 252 489 RCS CRETEIL

Registered office

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